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Development-Oriented Finance and Sustainable Development

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CHINA'S RISE

Development-Oriented Finance and Sustainable Development

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Foreword

It is justified for China to enjoy rapid development. China Development Bank (CDB), regarded as the only development-oriented finance institution of Chinese government, has combined the world's advanced financial theories with China's realistic situations, thus forming the theory and practice of development-oriented finance through removing economic barriers of financing, enhancing the establishment of market credit system, and supporting the smooth and rapid development of economy and society. All of the above reflect some vital characteristics of China's socialist market economy.

Since its founding, CDB has seriously performed its functions and carried out some effective work to accelerate the balanced development among regions, guarantee national economic security, strengthen national economic competitiveness, and promote the development of public welfare undertakings, thus playing an important role in promoting the implementation of major national strategies. For example, CDB greatly supported the extension of emergency loans such as the earthquake relief, the "going global" strategy performed by enterprises on energy resources, the strategies of Western Development, revitalization of northeast old industrial bases, and rise of Central China implemented by the State, as well as construction of rural infrastructure, growth of small and medium enterprises (SMEs), housing for low and medium income families, and financial aid to students and trainings for migrant work. In a word, CDB always devotes itself to the steady and rapid economic development either in adversities or favorable situations. Therefore, it has become an important means for the government to regulate and control the economy.

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The reform and growth of CDB have been closely connected with the reform, opening up, and economic development of China, which have been full of explorations, practices, and difficulties. Lots of bottleneck restrictions are imposed on the market system, infrastructure, and social development in China as a transitional economy. In these years, CDB has actively explored and developed the theories and practices on development-oriented finance with Chinese characteristics to tackle bottleneck problems in the economic development, hence achieving outstanding results. By combining government targets with market mechanism, development-oriented finance has been proved to be an important tool to solve such bottleneck problems and quicken the development in China. In the meantime, it is also an important means for China to follow up a road to characteristic socialism market economy. The targets of theories and practices of development-oriented finance are to seek an effective way to combine finance and government, finance and society, finance and economy, and finance and market, and to boost the overall progress and coordinated development of economy and society by means of mechanism, system, and market construction. The cores lie in system building, institutional improvement, market construction, and credit construction. The basic features of development-oriented finance theories are innovation, development, and finance. Such theories and practices not only aim to deal with the financing problem in the medium and long-term construction, more importantly, they would also speed up the construction of system, market, and credit, bring more energy into market, and create conditions for achieving national strategic objectives. In addition, the comrades of CDB seriously summarize the experiences and laws in the practices and explorations, draw wisdom and strength from practices and explorations, and constantly learn, practice, and explore again and again in the changing situations, which is of much significance.

Due to the severe situations brought about by international financial crisis and economic downside, the unfavorable and uncertain factors of external environments are increasing. As a big developing country, China has been staying in the primary stage of

socialism for a long time, with a large population, shortage in resources, and unbalanced development. The next period is critical for China to realize industrialization, urbanization, and modernization of national economy. Therefore, we must intensify and improve macroeconomic control in a practical manner, apply a market economy development mode under the leading of the government, and attach great importance to the position and role of development-oriented finance in new situations. For a long period in the future, infrastructure, basic construction, strategic industry, environmental protection, poverty reduction, disease control, and rural development will be the concerns of China's government and the long-term objectives of CDB as a national development-oriented finance institution. Anyway, the role of development-oriented finance is quite important and irreplaceable. The future development of CDB should focus on the medium and long-term policy-related businesses, follow a development route different from that of commercial banks, maximize favorable factors and minimize unfavorable ones, and combine banking characteristics such as commercial transformation and medium and long-term bonds with national development strategies, to continuously improve the market operation mechanism for development-oriented finance, and fulfil differential development of commercial banks. Besides, differential regulatory policies, incentive mechanism, and legal support for development-oriented finance should be prepared based on the improvement of commercial banking form to provide legal guarantee for the long-term sustainable development of CDB.

13 September, 2010
Professor Jiang Zhenghua
Former Vice Chairman of the Standing Committee of the National People's Congress

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Preface

Compared to its worldwide counterparts, China started modernization relatively late and encountered enormous difficulties. Since the Revolution of 1911 initiated by Sun Yat-sen and many others with lofty ideals that ushered in modern industrial civilization, the country has come to embrace industrial technology, modern finance and international credit. The first generation of revolutionaries led by Comrade Mao Zedong brought the Chinese people together to form the People's Republic of China after overthrowing imperialism, feudalism and bureaucrat-capitalism, which weighed like three big mountains on the backs of people before liberation. This event is unquestionably a milestone in China's modernization course. Thereupon, Chinese people become their own masters and have real control of their own destiny. Under the guidance of the second generation of central collective leadership with Deng Xiaoping as the core and the subsequent central leaderships with Jiang Zemin and Hu Jintao successively as General Secretary of the CPC Central Committee, China's unprecedented reform and opening up have brought about remarkable economic and social achievements across the country. Since then, China has embarked on the new era of accelerating socialist modernization and advancing into a moderately prosperous society in an all-round way. Today, China is standing rock-firm in the family of nations as one of the most influential countries in the world. Nonetheless, we are clearly aware that China is still in the primary stage of socialism and needs further development; in other words, while advanced countries have entered the era of knowledge economy, China still busies itself with industrial and economic development. Despite its economic achievements, China is in face of plentiful contradictions and problems, such as: the large population; limited resources; unbalanced development; the wide

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gap between urban and rural areas, between eastern and western regions and between the rich and poor; the defective and backward market system; the insufficient capacity for independent industrial innovation; the large production capacity but with only a few well-known brands; and the underdeveloped capital market despite the large number of foreign exchange reserves. In the coming 30 years, with around 500 million farmers moving from rural areas to cities and towns, the level of urbanization will escalate from the current 46% to 75%, bringing extremely arduous tasks of the construction and maintenance of urban infrastructure, the renewal of old industrial bases and the transformation of urban regions deplete of resources. In the 21st century, to develop into a moderately prosperous country and accomplish the most spectacular social change in the history of mankind, China needs to overcome a series of bottlenecks and constraints, among which a fundamental problem is how to accelerate financial development and build an efficient market credit system to raise the tremendous medium- and long-term development funds in support of modernization.

China's financial development model is a government-led one in terms of market-oriented finance. The government-let financial development requires planning, regulation, and services, which is conducive to maximizing the organizational function of the government, well handling of relations in a mixed economy, integrating resources and accelerating the development. The market-oriented financial sector requires market players to carry out financial activities by making full use of market-based instruments. This is also a vital factor for improving the financial efficiency and avoiding market risks and is in compliance with the requirements of the law of economic and financial activities. China's financial development model has integrated both sectors into one. As an important form and reflection of government-led market-oriented financial reform, China Development Bank (CDB) has actively quested for development financial theory and practice with Chinese characteristics. With national development goals as its own mission, CDB has improved the macroeconomic operational status through market-based operations, overcome the obstacles of long-term construction financing to provide strong

support for the development of national infrastructure, basic industries, strategic industries and social progress, actively participated in global economic governance and regional cooperation, promoted the leapfrog development of industrialization and urbanization, and stepped up the process of modernization.

CDB has always adopted a factual and realistic work style in its exploratory activities. As China's problems arising from its development have no ready resolutions and can never be solved by drawing on foreign experience, CDB strives to ensure the financing source of national key projects based on careful studies of the problems. In particular, since CDB set up the new party committee in 1998, the Bank has conscientiously summed up the lessons of the Asian financial crisis and the global financial crisis, profoundly analyzed the changes in domestic and international economic and social situations, and actively explored new ways of reform and development in strict line with the country's long- and mid-term development strategy. Concentrating on the principal contradiction, CDB has endeavored to realize the government's goals by relying on market-oriented operations and has persistently abided by the standards of first-class international banks. During its operation, it always combines modern civilization with good traditions, draws on international experience based on China's reality, focuses on economic efficiency without neglecting social responsibility, and energetically supports economic and social development while guarding against financial risks; it simplifies complex problems, systemizes simple issues and clearly recognizes its own advantages and disadvantages. Through these efforts, it not only provides financing support to overcome the material obstacles, but also unwaveringly aspires to be the vanguard of the market credit system development. By now, CDB has transformed from a "cashier" of the government in its early years of establishment in 1994 into a development financial institution with significant influence both at home and abroad. It has developed the operational mode and theoretical framework of development-oriented finance with Chinese characteristics, helped achieve national strategies through market-oriented means, effectively implemented the national macroeconomic policies, bolstered infrastructure

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construction and the development of other key areas, promoted the cooperation of grassroots financial institutions with international giants, and sped up China's urbanization and industrialization. CDB ranks first in terms of market share in RMB bond market and long-term loans (excluding personal consumption loans), and serves as the main bank to provide financing for infrastructure construction, market development and institution building, greatly boosting the fast development of China.

In response to the international financial crisis, by actively implementing the central government's policy of "securing growth, expanding domestic demand and adjusting structure" and taking full advantage of prior planning, sufficient project reserves and sound credit development and preparations, CDB has rationalized the direction and rhythm of extending loans to vigorously support the affordable housing projects, livelihood undertakings, infrastructure construction, environmental protection, post-disaster reconstruction and independent innovation, given full play to the role of development-oriented finance in stabilizing the economic fluctuations, and helped steer the economy toward the direction which the macro regulation and control expects.

Amidst the general trend of the accelerating global economic integration, CDB has actively implemented the "Go Global" strategy and dispatched working groups to over 150 countries to conduct in-depth research on local investment and financing market, seek worldwide business opportunities and vigorously develop international business. At the end of 2011, CDB reported a balance of foreign exchange loans of more than US$200 billion, expanded its business to 113 countries, and became China's largest outbound investment and financing bank. In particular, under the guidance of the central government and the State Council, CDB has delicately operated a number of foreign exchange lending projects like China–Russia Oil Pipeline Project, China–Venezuela Fund and China–Africa Fund, which have great strategic significance and are vital to the national economic security.

As China is at the primary stage of socialism, CDB has played and will continue to play its special role in accelerating China's

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modernization process. After years of efforts, CDB has formed distinctive development-oriented finance theory through practice, and has proved and will continue to prove with practical results that: planning is a core competitiveness; in the market economy, unique competitive advantages can be obtained by adhering to the inherent law of planning-led development, discarding the irrational part of planned economy and inheriting and carrying forward the rational ones, and consciously regarding prioritized planning as business philosophy; market credit system building is an important drive for economic development and credit enhancement, and can speed up the market institutional building; bond financing based on national credit can be a good source of funding for the medium- and long-term development; building a risk management mechanism jointly with social forces and giving full play to financing portfolio can better guard against financial risks; and by developing the bank though party building, making full use of political and organizational advantages and nurturing a credit culture with Chinese characteristics, efforts can be concentrated on major projects. Moreover, by adhering to the working principles that feature government priority, timely help, prior planning, credit building, and financing promotion and by establishing a business model featuring government entry, financial incubation and market exit, we can link government targets to market mechanisms and promote institutional building, market development and credit building through financing, thereby not only able to solve the difficulty of medium- and long-term construction financing, but also enhance market players' function to lay a foundation for the realization of national strategic goals. Development-oriented finance is an important means in compliance with the needs of national development and the requirement of financial system reform to mitigate the constraints and address development issues, an important manifestation of the socialist market economy with Chinese characteristics; it reflects the advanced productive forces, advanced culture and the fundamental interests of the overwhelming majority; and it is also a key demonstration of the scientific outlook on development and an essential force of the modernization drive.

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In recent years, under the leadership of the State Council and relevant departments, CDB has endeavored to forge ahead on the basis of summing up experience and has ushered in a new stage of development. According to the CDB Reform Program of the State Council, CDB will be transformed from a policy financial institution into a commercial bank. After the reform, it will support significant long- and mid-term development strategies of the economy by providing financial services such as long- and mid-term credit loans and investments. In other words, the foremost focus in long- and mid-term businesses which CDB should persist in after its transformation will distinguish it from other commercial banks. In the meantime, the Reform Program further clarifies that CDB will become a multi-purpose bank with credit and investment functions. Thus, it can be seen that the reform of CDB is very different from that of other state-owned banks including ICBC, ABC, BOC and CCB. Aiming to establish a development financial institution that takes shape of a commercial bank, the reform of CDB is a new exploration in China's financial system reform and also an energetic initiative of accelerating the modernization process.

The reform and development of CDB is an important component of China's long- and mid-term development strategy. Considering the complex domestic and international situations and the tasks China is facing, the reform and development of CDB need to concentrate on serving the national development strategy, reflect the requirements of financial ecological diversity and further take full advantage of development-oriented finance to stand out in international competition. CDB will persist in the reform and development, improve the financial model, adhere to market-based operations, combine the fund management strength of development-oriented finance with the organizational advantage of the government, improve development financing mechanisms, and boost the healthy development of credit entities, investment and financing platform. In line with the overall layout of economic and social development, CBD will continuously give full play to the strengths and role of medium- and long-term investment and financing, adhere to the direction of medium- and long-term business and uphold the position of medium- and long-term bond bank to promote the building

of credit system, support the development of basic facilities, basic industries and pillar industries, grassroots financing and international cooperation. It will further improve corporate governance, business process, and incentive mechanisms in accordance with the requirements of modern financial enterprise, stimulate the innovation of business model, enhance competitive edge and maximize comprehensive income; and it will further strengthen overall risk management, promote the implementation of the new Basel Accord, and improve social supervision mechanism to achieve first-class performance. Furthermore, CDB will vigorously shore up the financial cooperation with Latin America, Africa, and neighboring countries of Asia and speed up the implementation of the "Go Global" strategy to support the sound and rapid social and economic development and promote the modernization process.

China's modernization is a significant initiative to rejuvenate the Chinese nation and an important chapter in the development history of world civilization. Characterized by the coexistence of both advanced and backward facets and the intertwining of both old and new contractions, the present-day modernization is facing many unprecedented opportunities and challenges. With a high sense of mission and responsibility, under the guidance of the scientific outlook on development, all members of CDB have joined forces with people from all walks of the society to energetically explore the theory and practice of development-oriented finance with Chinese characteristics and do their bit to accomplish the country's all-round modernization as soon as possible.

Written in the setting of great history, great change and great challenge, this book is suitable for economic workers, college teachers and students as it contains a systematic study of the theory and practice of development-oriented finance that has evolved along with China's reform and opening up, and an in-depth analysis of the ideological basis, theoretical contents, operating principles and innovative development of Chinese-style development-oriented finance. Hopefully, the publication of this book will promote further discussions and researches on China's modern economic and financial systems and in turn the sustainable development of the Chinese economy and the world economy at large.

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Introduction: Reflection on Development-Oriented Finance in China

One

China has developed so quickly in the recent 30 years, which is a big surprise to many people around the world. We are so proud of such great achievement, reflecting our people's great efforts. As a witness of these great events, I am responsible to record my experience through those changes in order to share with more people. As a participant of this reform, I should reflect on the theory and practices of this reform for making some contributions to our next generation. As a person working in the economic field, I aspire after knowledge, especially after the road which my country has followed to achieve economic success. With the opportunity to work in China Development Bank (CDB) and to participate in the building of theories and practices of development-oriented finance under the leadership of Chen Yuan, I will present some of my opinions of development-oriented finance. Development-oriented finance, as a special financial movement, has the task of policy making, but does not rely on fiscal policy subsidies; has a market function, but does not pursue profit; and has the nature of financial enterprises, but more to reflect the government's intention. This financial market-oriented means is utilized to achieve national development goals, especially playing a special role in support of national infrastructure, strategic industries, livelihood projects, and country building. This kind of theory is combined with China's reform and opening up policy to attain growth and progress despite the difficulties it faces. Acting as a government development-oriented financial institute, CDB actively

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explores the socialist market economy with Chinese characteristics, promotes the project construction and credit institution building, and breaks the bottleneck of financing to support social and economic development, forming the theory and practices of development-oriented finance. Studying and concluding this theory and practice, I deeply feel that it is the crystallization of advanced theory and Chinese reality, an innovation of mechanisms of development, and a real record of financial services and national long-term development strategy. It contains China's reform and development experience, reflects the way of social construction with Chinese characteristics, and demonstrates the spirit of the times of great changes; it has certain positive influence on China's sustainable development. China's development has surpassed that of developing countries and is synchronized with the international economy.

Two

The book contains 4 parts and 20 chapters. I have concentrated on four parts, namely, (i) the logical basis of development-oriented finance, (ii) the theoretical contents of development-oriented finance, (iii) the operation mechanism of development-oriented finance, and (iv) the reform of development-oriented financial institute. I hope that this study will contribute to the research of China's modern financial institution, serving China for better development.

There are five chapters in Part 1, which discusses the logic foundation of development-oriented finance. It includes the following:

(1) China should seize the main contradiction, especially the main contradiction in the mid- and long-term economic development. In the initial stage of socialism in China, the economy developed under the background of resource restrictions where social demand exceeded the total demand without proper limits. This kind of development is on the stage of tight economic operation. The deepest and most central reason of tight macroeconomic operation is defective and backward of the credit system. The lagged credit system cannot meet China's huge demand of industrialization and urbanization, rapid progress in infrastructure construction, the upgrading of the

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industrial structure and consumption structure, environmental protection, ecological construction, and social undertakings.

(2) China should explore the solution to the problem in a realistic way. In the process of economic development, the government plays an important role in the allocation of resource through financial transfers and public goods supply but we should not rely only on government finances, instead of that, we need to make full play of the market credit, business credit, and personal credit. As important financial institutions, commercial banks are essential for the modern credit system construction, but the governance structure of commercial banks, the way to prevent the risks, and their goal of seeking profits determine that they are unable to provide long-term loan. As a result of that, it is difficult to meet some basic financing demand of certain industries and to support the field which needs financing services but lacks credit. Moreover, it is difficult to balance regional economic development. Although international experience is worth learning, it cannot solve China's own problems. China's problems require the solutions provided by development-oriented finance. CDB looks for truth from facts depicting national conditions. It always makes creative work, explores the development-oriented finance with Chinese characteristics, and actively solves the contradiction between the enormous financial demand and the lagged financial market development.

(3) In the process of solving the conflicts, we should develop Marxist dialectical theory of credit. Credit activities have common attributes with construction projects and other social activities, while there are some unique properties for it, such as social, moral, and subjective. As the basis for social activities, credit activities not only reflect the reality of existence but also continue to create a new existence. **Credit is able to be built and credit construction can be driven.** Development-oriented finance finds an internal conversion condition between the lack of credit and existence of credit, which can speed up the construction of credit system.

(4) We should inherit and carry forward our fine traditional culture and political organizational advantages, and speed up market credit

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institution building. Traditional Chinese culture is the ideological source of development-oriented finance. Development-oriented finance attaches great importance to the development of the financial responsibility of the modern credit. On the one hand, it makes full use of historical resources to speed up the construction of the modern credit system. On the other hand, it enriches our culture by constantly thinking of modern credit and financial knowledge, which lays a fundamental basis for consolidating long-term development.

(5) We should judge the basic direction and motivation of sustainable development under the conditions of international competition. There are two kinds of globalization in the modern world. One is based on the US as the driving force of globalization, forming the consumption engine for global economic development. The other is the globalization driven by China's urbanization, namely, China's urban infrastructure construction and industrialization are the engines of this kind of globalization. Development-oriented finance is based on global strategic thoughts. On the one hand, it attaches great importance to the US-led financial consumption power, while avoiding the emergence of China's "new fetishism of commodities" and abuse of consumer credit. On the other hand, it firmly grasps the huge market and opportunities brought by urbanization. In economic globalization, China's urbanization is the world's largest modern movement and the enormous demand that comes along with urbanization provides new opportunities and incentives for improving the modern credit structure. Development-oriented finance adheres to "credit will be around the whole world". Like the revolution of credit to provide adequate funding for the consumer in the United States during the 20th century, development-oriented finance provides adequate credit support for urbanization, acting as the engine power for increasing urbanization in China.

There are five chapters in Part 2, which is concerned about the theoretical contents of development-oriented finance. It mainly contains the following:

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(1) Planning is the core competence. Scientific planning should reflect the strategy of economic and social development, comprehensive, balanced, and innovative requirements. We can support development and avoid risks by prioritizing planning, grasping the key points, integrating government, financial and market forces from the upper side, finding major projects, identifying resourcing potential, giving full play of the forces of multifarious fields, scientifically predicting strategic credit space, reasonably using existing resources and future resources, making overall arrangements for medium and long-term infrastructure funding and funding in the key and relatively weak field, whilst considering the balance of cash flow and profits balance, and jointly promoting the credit building, institution building, and market development.

(2) Credit building of the market is the key propulsion of economic development. In developing countries, credit building of the market can be a priority to integrate the different forces of society, especially integrating the relating elements of market credit with institutions, including planning, political advantages, and traditional culture. We should give full play of every part of the market in order to promote the development of the market credit and guarantee the operation of the society and market, which is a must to ensure the long-term sustainable development.

(3) Efforts should be taken to transfer the forces of market with the forces of government so as to accelerate the construction of credit system. Development-oriented finance brings to light the government's organizational advantage in imperfect financial markets, creatively builds the financing mechanism coordinated by the government, simultaneously meeting the national conditions to promote the building of credit system. We can better address the financing needs of urban infrastructure construction, major projects and hot issues, speeding up the infrastructure construction and livelihood financial development.

(4) We should play the advantage of financing in a combined way, which is not only able to prevent the risk but also support our construction. Financing in a combined way is a financing mechanism of integrating resources, arranging funds properly, hedging risks, and

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coordinating development, which is reflecting the "using ideas of combination to guide the development, while using the wholesale way to carry out risk management". This kind of idea expands on the extension of the Western portfolio investment theory, helping to extend the financing business model of developing the urban infrastructure and in other areas. It not only leads to support economic and social development by better utilization of social capital, alleviates the bottleneck in economic and social development and the relatively weak part so as to promote the formation of diversified investment and financing system, but also improves the asset structure of financial institutions, asset quality and risk prevention capacity, and overall business efficiency.

(5) The socialization of finance is closely connected with the mid- and long-term development. Through the social organization and management of credit resources to establish a social-based, systematic, and standardized credit system, we will be able to allocate profits and risks in a social way, which will be done in a "fair, integrated, and transparent" manner so as to make everyone enjoy their privilege of financing, meet people's immediate needs, and support the construction of harmonious society. **Moreover,** it adheres to the party building, banking operation, consolidating the micro-political foundation of long-term development. The Chinese Communist Party uses its strong advantage of political organization to enable China to achieve success. CDB actively explores the development of grassroots party organizations, adheres to the combination of traditional Chinese culture with the party's mission, the combination of political party building with business building and the combination of political party's ideology advantage, political advantage, organization, and coordination strengths with the advantages of bank financing. We should utilize party construction to promote the development of the bank and use the development of the bank to test the party construction, making party building and bank building integrate in goals and measures so as to strengthen the function of grassroots party organizations.

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There are four chapters in Part 3, which explores the key factors of development-oriented finance operation, mainly including the funding resource, operation mechanism, and governance structure and management style. Development-oriented finance raises the fund for mid- and long-term construction and livelihood matters, depending on the government's credit to issue financial bonds. This kind of funding mechanism expands the credit of government and strengthens government's monetary credit. We should utilize government's credit correctly; transfer the short-term and socialized fund of commercial bank to long-term and big amount of money so as to effectively arrange the social funds to support the mid- and long-term infrastructure construction and development of social affairs. Concurrently, it cuts the connection of mid- and long-term construction with basic money from the sources, lowering the systematic risks of financial industry. Development-oriented finance insists on the principle of operation as "government entrance, financial support, and market exit". **Government entrance is that development-oriented finance actively sheds light on the area where market function is not working well, and gives play of the government's organization advantages. Financial support is to implement the idea of development-oriented finance, raise capital to promote credit construction, improve the construction of the legal system, cash flow, credit, and project, and at last form mature projects and market institutions which meet the regulation of commercial operation and the requirements of financial risk management. Market exit is that development-oriented finance adjusts its strategy according to the change of situations.** It mainly reflects in the area that giving away some shares of loans, introducing market funds; leaving a part of the traditional markets, opening up the field of blue sea; leaving some part of the developed regions, developing the backward areas; leaving some part of the large-scale projects, fostering SME projects; and leaving some part of domestic business, expanding international markets. The basic operation structure of development-oriented finance is one center, three main lines, four features, and an opening structure.

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(1) *One center*: we focus on customer-oriented feature, enhance customer relationship management, improve bank governance, and consolidate the basis for financial development.
(2) *Three main lines*: we set up our business, risk control, and support systems to protect three types of departments.
(3) *Four major features*: the internal organizational structure reflects the characteristics of "flat, flexibility, specialization, and integration".
(4) *Opening structure*: We focus on the business-oriented feature and establish the structure based on the open-matrix structure. With the help from all sectors of society, we build organizational structure based on "four platforms and one association" (government finance platform, financing platform, security platform, supervision platform, and credit association), extend the root nets and form the open structure. Development-oriented finance adheres to the management style of "diversified service, marketed operation, and regulated management". We implement financial activities in a large-scale and deep manner; integrate domestic and foreign resources; scientifically use credit, investment, investment banking, and other various financial instruments; improve operational efficiency; and strengthen the core competitiveness to serve for major and long-term economic development strategy and social development.

Part 4 includes 5 chapters from Chapters 16 to 20, which discuss some profound problems of financial reform in the global background of great history, great reform, and great challenges.

(1) Commercialization of CDB is different from the reform in commercial banks. Since the commercialization of CDB, we need to continue our financial business in mid- and long-term credit and investment, serving for significant mid- and long-term strategy of national economy. China's urbanization has entered a new climax, which needs CDB to provide more mid- and long-term capital for urban construction. CDB's policy tasks are harder and heavier. Despite continuing support for infrastructure, basic industries, and pillar industries, CDB gives support to grassroots finance, "going

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out" policy, new and high technology, and industrial updating. There is an increased awareness to maintain quantity as well as quality of the policy tasks. According to international norm, serving for long-term national strategy needs the government to ensure long-term and all-round policy support, especially national credit support. Therefore, CDB's reform requires analyzing problems realistically and sticking to "practice, cognition, and then practice".

(2) Second, the imbalanced development of China determines China's diversified finance. It is vital to actively explore development-oriented financial institutes with characteristics of commercial banks.

(3) Third, China's finance confronts with opportunities and challenges in the global reform. We should make our goal, task, and measures clear in China's stable economy and mid- and long-term development.

(4) Fourth, financial diplomacy is a great event of China. With the development of globalization, international financial relationship has become an important part of international relations. The focus of the giant countries is not the cooperation and competition in the fields of military, but the priority to make the financial regulations. In order to be a great country in the world, we need a brilliant strategy for diplomatic relationship with other countries. From the overall situation of China's strategy and the regulations and features of financial work, development-oriented finance adheres to "goodness priority" to build long-term credit relationship; adheres to "give more and ask for less" to build sincere credit relationship; adheres to "resource exchange" to build mutual helping credit relationship; adheres to "diversified service" to build flexible credit relationship; and adheres to "focus on key points" to develop credit relationship with countries from the third world, mainly emphasizing on cooperation with Asian, Latin American, and African countries.

(5) China needs to handle the following four relationships to ensure that our economy develops in a stable and fast way: (i) the relationship between domestic market and international market; (ii) the relationship between real economy and virtual economy; (iii) the relationship between financial innovation and regulation; and

(iv) the relationship between financial reform and development. To confront with the financial crisis and the imbalance and unsustainable development of China's economy, we should conclude from our history lesson and build a long-term system to prevent financial risks.

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Three

We emphasize the giant impact advanced theory has had on construction and development. As a development-oriented financial department of the government, CDB adheres to the combination of epistemology and practice, looks for the credit conversion conditions between immature and mature credit, promotes the market of credit system construction in the basic socioeconomic areas and relatively weak areas, and vigorously forms a number of important ideas of development, improving and enriching itself in practice.

(1) *The ideas of development*: the market can be developed and market development can be promoted. Market development must be people-oriented and based on institutions as the main body. Away from the financing main body with creativity and good credit structure, all financial activities will lack their source. Development-oriented finance attaches great emphasis on strengthening the development of financial market, giving full play of people's creativity, developing people's inherent potential, developing government departments' organizational advantages and various resources, and adhering to rearing the blood-making function of main credit body so as to make them have a long vitality.
(2) *The idea of planning ahead*: planning is a kind of thought of development. Scientific development planning is a combination of knowledge and practice: "Science" is the theory of knowledge which is mainly reflected on the relationship between man and awareness of nature, awareness of country's actual conditions, and the understanding of its own path to achieve success by economically lagged countries. "Development" is the practice theory, mainly reflected in the application of science and technology, not

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only recognize and obey the law of science and technology and socioeconomic development but also use the law to speed up development. Scientific development planning in developing countries is the foundation for regaining the initiative, avoiding detours, speeding up development, and an important prerequisite for scientific development. Development-oriented finance insists that planning should be put in the first position and committed to give full play of planning as the core of competitiveness so as to effectively adjust the overall situation.

(3) *The idea of strategic option*: strategic option is a combination of epistemology and practice. Strategy is epistemology and is the understanding and planning for the future; option is practice and is an application of financial technology. Strategic option is an important technical and ideal support for the scientific development planning. In the process of planning the development of a region or a sector, we should take full account of the actual and potential strengths of the region and rationally use its credit support demanded by large-scale construction so as to attain the goal of avoiding risks and speeding up development. Development-oriented finance uses strategic options to achieve the profit and loss in the overall balance in the process of support for the local and major industrial development, while in the meantime using the continuous financial arrangements to resolve the problem of the realization of a sustainable long-term investment returns and profits in order to support economic and social sustainable development.

(4) *The idea of credit by organization*: rely on the advantages of governmental organizations, use the basic role of government credit, improve linkage with fiscal financing, and promote the healthy business, healthy finance, and healthy coordinated economic development. Development-oriented finance adheres to combine their own financial advantage with the advantage of government organizations, combines the nature of quasi-debt funds with financial assets management, improves the development of financing mechanisms, promotes government, business, and market mechanisms to be combined into the main body of credit and financing platform so as to transfer the state credit,

bank credit, and the local government into business credit. On the one hand, we can guarantee the security of assets and on the other hand, we can support the economy to develop in an overall, coordinated, and sustainable development.

(5) *The idea of creativity*: creativity includes creative thinking, system innovation, and technological innovation, all of which aim at overcoming the difficulties in the process of development and reducing contract costs. Creative thinking is the people's interaction and a human revolution to overcome its own difficulties, which is helpful to reduce system cost; system innovation is the interaction between people and is the system's development, which is helpful to reduce the cost of the technological revolution; technological innovation is the interaction between man and nature and is the human act to transform nature and protect the environment, which is helpful to reduce production costs. Development-oriented finance adheres to theoretical innovation, institutional innovation, policy innovation, product innovation, and establishing financial theory with Chinese characteristics. We should establish modern credit system from the optimization of microeconomic behavior, in order to explore new ideas for economic development.

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Four

To facilitate understanding, we hereby provide the following explanations on some new concepts.

In this book, "**Development-oriented finance**" refers to a financial entity that aims to realize government objectives and promote the sound, rapid, and sustainable development of the economy and the society. As CDB is the innovator and practitioner of such financial entity, we treat development-oriented finance as an animate subject and sometimes make no special distinction between it and CDB during our narration.

The development of market credit system is an integral part of the socialist market economy of China, and also a major focus of the

book. To simplify narration, "market development" and "credit system building" as mentioned in the book both refer to **"the development of market credit system"**. To accelerate the development of market credit system is imperative for developing countries to achieve rapid, healthy, and sustainable development. This is a basic idea of development-oriented finance.

The concept of **"credit capital"** mentioned in the book reflects the close relationship between the efficiency of capital use and the development degree of market credit system. A sound credit system will increase the capital mobility and significantly improve the efficiency of capital investment.

All in all, development-oriented finance plays initiative function under the guidance of the scientific development concept, adheres to dialectical thinking, innovation, correctly handles the relationship between internal reasons and external reasons, between the government market and enterprises so as to build an effective macro-policy and market adjustment transmission mechanism and break the credit bottlenecks, provide financial services and promote economic and social sustainable development. The theory and practice of development-oriented finance is not only good to CDB's work but also good to other kind of work, not only beneficial to China's economic development but also beneficial to the international community, particularly to developing countries. The theory and practice of development-oriented finance will continue to deepen and develop, while this study will be carried forward.

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